NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH
COURT NO.1

ATTENDANCE CUM ORDER SHEET OF THE HEARING OF NATIONAL COMPANY LAW TRIBUNAL, BENGALURU BENCH, BENGALURU, HELD ON 08.10.2018

PRESENT: 1.Hon'ble member (J) **Shri Rajeswara Rao Vittanala,**
2. Hon'ble member (T) **Dr. Ashok Kumar Mishra**

CP/CA No	Purpose	Section	Name of Petitioner	Petitioner Advocate	Name of Respondent	Respondent Advocate
CA(CAA)No24/BB/2018	For pronouncement of order	Sec 230-232	M/s HU Software India Pvt Ltd	Ravi Kiran R CA		

SL. NO.	NAME (IN CAPITAL) & PHONE NUMBER	REPRESENTATION TO WHOM	SIGNATURE
	RAVI KIRAN.R. 9663731357		Ravi Kiran.K

PETITIONER/s :

RESPONDENT/s :

ORDER

Heard Shri Ravi Kiran R., Learned Counsel for the Petitioner. CA(CAA)No.24/BB/2018 is disposed of vide separate order. Registry is directed to issue copy of the Order to the Chairperson and Scrutiniser.

Sd/-
Member (T)

Me Sd/-

Krishna

IN THE NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH

CA(CAA)No. 24/BB/18
Under Section 230 to 232 of Companies Act, 2013

IN THE MATTER OF SCHEME OF AMALGAMATION
IN THE MATTER
OF
HU SOFTWARE INDIA PRIVATE LIMITED
(Transferor Company)
WITH
ZEOMEGA INFOTECH PRIVATE LIMITED
(Transferee Company)
AND
THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

Order delivered on: 08th October, 2018

Quorum: Hon'ble Shri Rajeswara Rao Vittanala, Member (Judicial)
Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

For the Petitioners: Mr. Ravi Kiran R., Chartered Accountant
on behalf of M/s Tejus and Ravikiran Chartered Accountants

Per: **Hon'ble Shri Ashok Kumar Mishra, Member (Technical)**

Heard on: 16.04.2018, 08.06.2018, 13.07.2018, 17.08.2018, and 10.09.2018

HU SOFTWARE INDIA PRIVATE LIMITED
41, Shubhashree Pride,
South End Road, Basavanagudi,
Bengaluru-560004

....Applicant Company No. 1/Transferor Company

ZEOMEGA INFOTECH PRIVATE LIMITED
No. 20-21, Rajalaxmi Plaza,
South End Road, Basavanagudi,
Bengaluru-560004

....Applicant Company No. 2/Transferee Company

ORDER

A. This Application is filed jointly on behalf of Applicant Companies under Section 230 to 232 of Companies Act, 2013 read with Rule 3 Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, praying to fix the meeting of Equity Shareholders and Creditors of the Applicant Companies on such date and time as may

be deemed fit, and if thought fit, approving, with or without modifications, the Scheme, and that a Chairman be appointed for the meeting and necessary directions be given with regard to issue of notice, convening, holding and conducting of the meeting. The Scheme of Arrangement is attached to the Petition.

B. The averments made in the Company Application are briefly described hereunder:-

1. The Applicant Company seeks an order to praying to fix the meeting of Equity Shareholders and Creditors of the Applicant Companies on such date and time as may be deemed fit, and if thought fit, approving, with or without modifications, the Scheme, and that a Chairman be appointed for the meeting and necessary directions be given with regard to issue of notice, convening, holding and conducting of the meeting. The Scheme of Arrangement is attached to the Petition.

2. The Application has been filed jointly by Applicant Company No.1 and 2 stating that the Applicant Company No.1/Transferor Company was incorporated on 04th October, 2005 under the name and style of **HU Software India Private Limited** under the jurisdiction of the Registrar of Companies, Tamil Nadu as shown in the Certificate of Incorporation at **Annexure 4**. The registered office was subsequently shifted to Bengaluru, Karnataka on 23rd March 2016 bearing CIN U72200KA2005PTC093194. The registered address of the Company is at 41, Shubhashree Pride, South End Road, Basavanagudi, Bengaluru-560004. The change in address is shown at **Annexure 8** and **9**.

3. The main objects of the Applicant Company No.1/Transferor Company inter alia is as follows:

i) To carry on business as developers of software, provide software consultancy services to clients/customers, engage in offshore software/product development, provide customised solutions, Business Process outsourcing and related/associated IT enabled services like establishing and maintaining call centres, providing technical and skilled personnel, outsourcing manpower, corporate communication, networking, media planning, product development and management consultancy for entrepreneurial business.

ii) To develop, buy, sell, exchange, import or export or otherwise deal with in all kinds of Computer Software, Computer Hardware, Computer Consumables

Computer Accessories, Printers, scanners and such other communication devices and equipments both in the Union of India or elsewhere in the world.

iii) To set up, provide and maintain on line shopping malls/e-bazars for all kinds of goods and merchandise to enable online shopping by using internet or such other facility and to provide wide range of computer related services such as Desktop publishing (DTP), computer aided design (CAD), Computer Aided Modelling (CAM), Computer Graphics and Presentation Graphics, Computer Communication including Telex, Interfaces and fax services.

iv) To carry on various computer or computer related training and other such training programs and to train/hire/outsource personnel and to award degree, diploma and issue certificates both in software and hardware in computer and computer peripherals on its own or by franchisees or both in conjunction of or with other institutions.

4. The copy of Memorandum of Association and Articles of Association of the Transferor Company shown as **Annexure 5.**

5. The latest authorised share capital of the Transferor Company is Rs.2,00,00,000/- divided into 20,00,000 Equity Shares of Rs.10/- each. The issued, subscribed and paid-up capital of the Transferor Company is Rs.44,75,820/- divided into 4,47,582 Equity Shares of Rs.10/- each. The Audited balance sheet as on 31st March, 2017 of the Transferor Company is shown as **Annexure 10**. The unaudited balance sheets as on 31st December 2017 of Transferor Company are shown as **Annexure-1A**.

6. It is further stated that, the Board of Directors of the Transferor Company have approved and adopted a Scheme of Arrangement at their meeting held on 09th February, 2018 by virtue of which the Transferor Company is proposed to be amalgamated with the Transferee Company. Copy of the Board Resolution of Transferor Company dated 09th February, 2018 approving and adopting the Scheme of Arrangement are shown as **Annexure 17.**

7. It is further stated that the Chartered Accountant after verification of the books of accounts, other records and documents of the Transferor Company has certified that there are two (2) Shareholders of the Transferor Company shown as

Annexure 1C, i.e., i) M/s Health Unity Corporation which is registered in Delaware, USA holding 4,47,581 equity shares and ii) Mr. Sathyanarayana Prasad Rangaswamy holding 1 equity share.

8. It is further stated that there are three Creditors in the Transferor Company as on 31st March, 2018 as certified by the Chartered Accountant, i.e., i) M/s. Ayyavoo & Co based out of Chennai, Tamil Nadu for an amount of Rs.112,500/-, ii) BSNL based out of Bangalore, Karnataka for an amount of Rs.272/- and iii) Nagendra Bhagwat & Associates based out of Bangalore, Karnataka for an amount of Rs.24,900/-, shown as **Annexure 1B**.

9. Furthermore, Application has been filed jointly by Applicant Company No. 1 and Applicant Company No. 2 stating that the Applicant Company No. 2/Transferee Company was incorporated on 23rd March 2001 under the name and style of '**Zeomega Infotech Private Limited**' under the jurisdiction of the Registrar of Companies, Karnataka bearing CIN U72900KA2001PTC028807. The Registered office of the Applicant Company No. 2/Transferee Company is at No. 20-21, Rajalaxmi Plaza, South End Road, Basavanagudi, Bengaluru-560004.

10. The main objects of the Applicant Company No. 2/Transferee Company is as follows:

    a) To Establish, Design, Develop, Manufacture, Publish, Author, Create, Maintain, Export, Import, Acquire, Hold, Deal in, Distribute, Exchange, Buy, Sell, Transfer, Gift, Commission, Install, Service, Implement, Advertise, Manage, Train, Consult, Placement, Data Conversion, Data Management, Data Analysis, Data processing, Data Warehousing, Leasing, Hiring, Acting as Agents, Consultants, Processors, create knowledge base in, of all types and kinds of Software, Hardware and Services, Systems Software, Application Software, Software Products, Information Technology Products, in any medium, in all areas such as Wireless Messaging, Telecom Software, Process Engineering, Re-targettable Tools, Geographic Information, Engineering, Networking, Electronics, Communication, Education, Entertainment, Banking, Internet, Intranet, Ecommerce, Statistical, Financial, Stock Markets, Accounting, Banking, Medical Transcription, Legal Transcription, Audio-Video Conferencing Facilities, Telephony Services,

Insurance, Medical, Legal, Management, Edutainment, Multimedia, Call centers, Software Services, Web based or otherwise, Onsite or Offshore, in India or Abroad.

11. The copy of Memorandum and Articles of Association of the Applicant Company No. 2/Transferee Company is shown as **Annexure 12.**

12. The latest authorised share capital of the Applicant Company No. 2/Transferee Company is Rs. 20,00,000/- divided into 2,00,000 Equity Shares of Rs.10/- each. The issued, subscribed and paid-up capital of the Transferee Company is Rs.19,56,000/- divided into 1,95,600 Equity Shares of Rs.10/- each. The Audited balance sheet as on 31st December, 2016 of the Transferee Company is shown as **Annexure 15**. The latest unaudited balance sheet as on 31st March, 2018 of the Applicant Company No. 1/Transferee Company is shown as **Annexure 2A**.

13. It is further stated that, the Board of Directors of the Applicant Company No. 2/Transferee Company have approved and adopted a Scheme of Amalgamation at their meeting held on 09th February, 2018 by virtue of which the Transferor Company is proposed to be amalgamated into is proposed to be amalgamated into the Transferee Company subject to confirmation. Copy of the Board Resolution of Transferee Company dated 09th February, 2018 approving and adopting the Scheme of Arrangement are shown as **Annexure-18**.

14. It is further stated that the Chartered Accountant after verification of the books of accounts, other records and documents of the Applicant Company No. 2/Transferee Company has certified there are two Equity Shareholders of the that Transferee Company, i.e., i) ZeOmega Inc. which is registered in Texas, USA holding 1,95,599 equity shares and ii) Mr. Sathyanarayana Prasad Rangaswamy holding 1 equity share, shown as **Annexure 2C**.

15. It is further stated that the Chartered Accountant after verification of the books of accounts, other records and documents of the Applicant Company No. 2/Transferee Company has certified that there are sixty seven (67) Creditors in the Applicant Company No. 2/Transferee Company as on 31st March, 2018, shown at **Annexure-2B**.

16. It is further averred in the Application that the Board of Directors of the Applicant Company No.1 and Applicant Company No.2 have decided to

amalgamate the Transferor Company on a going concern basis, pursuant to a scheme of amalgamation under sections 230-232 of the Companies Act, 2013, into the Transferee Company in order to consolidate and effectively manage both the Transferor Company and the Transferee Company, which will provide several benefits including synergy, economies of scale, attain efficiencies and cost competitiveness.

C. The Applicant Company No. 1 and Applicant Company No.2 are seeking an order to fix the meeting of Equity Shareholders and Creditors of the Applicant Companies on such date and time as may be deemed fit, and if thought fit, approving, with or without modifications, the Scheme, and that a Chairman be appointed for the meeting and necessary directions be given with regard to issue of notice, convening, holding and conducting of the meeting.

D. We have heard the Counsel appearing for the Applicant Companies. After hearing the counsel and after perusing the documents filed, the Application is allowed and we pass the following order:

(1) The meeting of the Equity Shareholders of the Applicant Company No.1/Transferor Company be convened and held at 41, Shubhashree Pride, South End Road, Basavanagudi, Bengaluru-560004 on **12th November, 2018** at **09 AM** for the purpose of considering and, if thought fit, approving with or without modification(s) the proposed scheme of amalgamation of HU Software India Private Limited (Applicant Company No. 1/Transferor Company) with Zeomega Infotech Private Limited (Applicant Company No. 2/Transferee Company). Mr. S. Vivekananda, Advocate is appointed as Chairperson, the Mr. K. Dushyant Kumar, PCS as Scrutinizer for the Meeting of Equity Shareholders. The remuneration for Chairman shall be Rs. 50,000/- and for Scrutiniser shall be Rs. 35,000/-. The quorum for the Meeting of Equity Shareholders is **two**, either in person or through representative. The Notice of the Meeting of Shareholders shall be published in an English Daily "The Hindu" and in Kannada Daily "Udayavani".

(2) The meeting of the Creditors of the Applicant Company No. 1/Transferor Company be convened and held at 41, Shubhashree Pride, South End Road,

Basavanagudi, Bengaluru-560004 on **12th November, 2018** at 10 **AM** for the purpose of considering and, if thought fit, approving with or without modification(s) the proposed scheme of amalgamation of HU Software India Private Limited (Applicant Company No. 1/Transferor Company) with Zeomega Infotech Private Limited (Applicant Company No. 2/Transferee Company). Mr. Vivekananda, Advocate is appointed as Chairperson, the Mr. K. Dushyant Kumar, PCS as Scrutinizer for the meeting of the Creditors. The remuneration for Chairman shall be Rs. 50,000/- and for Scrutiniser shall be Rs. 35,000/-. The quorum for the meeting of the Creditors is **two**, either in person or through representative. The Notice of the meeting of the Creditors shall be published in an English Daily "The Hindu" and in Kannada Daily "Udayavani".

(3) The meeting of the Equity Shareholders of the Applicant Company No. 2/Transferee Company be convened and held at No. 20-21, Rajalaxmi Plaza, South End Road, Basavanagudi, Bengaluru-560004 on **12th November, 2018** at **11 AM** for the purpose of considering and, if thought fit, approving with or without modification(s) the proposed scheme of amalgamation of HU Software India Private Limited (Applicant Company No. 1/Transferor Company) with Zeomega Infotech Private Limited (Applicant Company No. 2/Transferee Company). Mr. Saji P. John, Advocate, is appointed as Chairperson and Mr. Mr. Hari Babu Thota as Scrutinizer for the meeting of Equity Shareholders. The remuneration for Chairman shall be Rs. 50,000/- and for Scrutiniser shall be Rs. 35,000/-. The quorum for the Meeting of Equity Shareholders is **two**, either in person or through representative. The Notice of the Meeting of Shareholders shall be published in an English Daily "The Hindu" and in Kannada Daily "Udayavani".

(4) The meeting of the Creditors of the Applicant Company No. 2/Transferee Company be convened and held at No. 20-21, Rajalaxmi Plaza, South End Road, Basavanagudi, Bengaluru-560004 on **12th November, 2018** at **01 PM** for the purpose of considering and, if thought fit, approving with or without modification(s) the proposed scheme of amalgamation of HU Software India Private Limited (Applicant Company No. 1/Transferor Company) with Zeomega Infotech Private Limited (Applicant Company No. 2/Transferee Company). Mr. Saji P. John, Advocate, is appointed as Chairperson and Mr. Mr.

Hari Babu Thota as Scrutinizer for the meeting of the Creditors. The remuneration for Chairman shall be Rs. 50,000/- and for Scrutiniser shall be Rs. 35,000/-. The quorum for the meeting of the Creditors is thirty **(30)**, either in person or through representative. The Notice of the meeting of the Creditors shall be published in an English Daily "The Hindu" and in Kannada Daily "Udayavani".

(5) The Applicant Company No.1 and Applicant Company No. 2 or their authorized signatory is directed to issue notice(s) to Creditors of the Applicant Companies by Registered or Speed Post; or Courier; or Air Mail; or email; or hand delivery to their last known address at least 30 clear days before the said meeting of the Creditors of Applicant Companies as per Form No.CAA2 (Rule 6) of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 ensuing convening the said Creditors Meeting of Applicant Company No.1/Transferor Company and Applicant Company No. 2/Transferee Company at the place, day, date and time, along with a copy of scheme of amalgamation, a copy of Explanatory Statement, pursuant to Section 230 of the Companies Act, 2013 and form of Proxy as per Form No. MGT-11 (Rule 19) of the Companies (Management and Administration) Rules, 2014.

(6) The Applicant Company No.1/Transferor Company and Applicant Company No. 2/Transferee Company is directed at least 20 clear days before the Meeting of the Creditors of the Applicant Company No.1/Transferor Company and Applicant Company No. 2/Transferee Company to be held as aforesaid, to issue a notice convening the said meeting, at the place, date and time aforesaid and stating that copies of the Scheme of Amalgamation and the statement required to be furnished pursuant to Section 230 of the Companies Act, 2013 and that the form of proxy can be obtained free of charge at the Registered Office of the Applicant Company No.1 and Applicant Company No. 2 as aforesaid.

(7) The Applicant Company No.1 and Applicant Company No. 2 are to serve the notice upon the Regional Director, South-East Region, Ministry of Corporate Affairs, Hyderabad pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 if no response is received by the Tribunal from

Regional Director within 30 days of the date of receipt of the notice it will be presumed that Regional Director and/or Central Government has no objection to the proposed Scheme as per Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016.

(8) The Applicant Company No.1 and Applicant Company No. 2 are to serve the notice upon the Registrar of Companies, Karnataka pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 if no response is received by the Tribunal from Registrar of Companies, Karnataka within 30 days of the date of receipt of the notice it will be presumed that Registrar of Companies, Karnataka has no objection to the proposed Scheme as per Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016.

(9) The Applicant Company No.1 and Applicant Company No. 2 are to serve the notice upon the Income Tax Authority, within whose jurisdiction that Applicant Company's Assessment are made, pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 if no response is received by the Tribunal from Income Tax Authority within 30 days of the date of receipt of the notice it will be presumed that Income Tax Authority has no objection to the proposed Scheme as per Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016.

(10) The Applicant Company No.1 and Applicant Company No. 2 are to serve the notice upon the other Sectoral Regulators or Authorities if applicable, pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 if no response is received by the Tribunal from other Sectoral Regulators or Authorities within 30 days of the date of receipt of the notice it will be presumed that the other Sectoral Regulators or Authorities has no objection to the proposed Scheme as per Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016.

(11) The Chairman shall have all powers under the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 in relation to the conduct of the

meeting(s), including for deciding procedural questions that may arise before or at any adjournment thereof or any other matter including an amendment to the Scheme or resolution, if any, proposed at the meeting by any person(s).

(12) The voting shall be in person or by proxy or authorised representative in case be permitted, provided that the proxy in the Form No. MGT-11 authorization duly signed by the person entitled to attend and vote at the meeting, is to be filed with the Applicant Companies at their Registered offices, not later than, forty eight hours before the aforesaid meeting in accordance with Rule 10 of the Companies (Compromises, Arrangements and Amalgamation) Rules, 2016.

(13) The said Chairman is to file affidavit not less than seven days before the day fixed for holding of the meeting and do report to this Tribunal that the direction regarding convening and issuance of notice(s) to all the necessary parties have been duly complied with in conformity with the relevant Provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements, Amalgamations) Rules, 2016.The Chairman shall report the conclusion of the aforesaid meeting as per the Rule 14 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

(14) In any eventuality when the Applicant Companies approach this Tribunal for seeking approval of the scheme it would be open for any person who is interested in the scheme of Amalgamation to put forth their contentions before this Tribunal.

Sd/-
(ASHOK KUMAR MISHRA)
MEMBER, TECHNICAL

Sd/-
(RAJESWARA RAO VITTANALA)
MEMBER, JUDICIAL

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